OFFERING MEMORANDUM

OAKWOOD COMMONS

232-Unit Multifamily Community
Houston, Texas

Marcus Realty Group
Houston, Texas 77002
September 2020

IMPORTANT DISCLAIMERS

This Offering Memorandum contains forward-looking statements and projections that are based on assumptions and involve risks and uncertainties. Actual results may differ materially from those projected.

The information contained herein has been obtained from sources believed to be reliable, but no representation or warranty, express or implied, is made as to its accuracy, completeness, or correctness.

Prospective purchasers should conduct their own independent investigation and due diligence. This document is confidential and intended solely for qualified prospective purchasers.

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1. EXECUTIVE SUMMARY

Marcus Realty Group is pleased to present the exclusive opportunity to acquire Oakwood Commons (the "Property"), a 232-unit garden-style multifamily community located in the Westchase submarket of Houston, Texas. This offering represents a rare opportunity to acquire a well-positioned asset with significant value-add potential.

PROPERTY SUMMARY

Property Name:	Oakwood Commons
Address:	11550 Westheimer Road, Houston, TX 77077
Submarket:	Westchase
Year Built:	2008
Year Renovated:	2018 (exterior)
Total Units:	232
Unit Mix:	90 One-Bedroom / 115 Two-Bedroom / 27 Three-Bedroom
Average Unit Size:	925 SF
Site Area:	8.2 acres
Stories:	3-story garden-style

INVESTMENT SUMMARY

Purchase Price:	$41,500,000
Price per Unit:	$178,879
Price per Square Foot:	$193
In-Place NOI:	$2,404,000
In-Place Cap Rate:	5.8%
Pro Forma NOI:	$2,705,000
Pro Forma Cap Rate:	6.5%

VALUE-ADD OPPORTUNITY

The Property offers significant value-add potential through a unit interior renovation program. Approxi
retain original 2008 finishes and are renting $150-200 below renovated units. The renovation progra
$8,000-10,000 per unit with target rent premiums of $175-225 per month.

2. INVESTMENT HIGHLIGHTS

ATTRACTIVE SUBMARKET DYNAMICS. The Westchase submarket is one of Houston's most desirable infill locations, benefiting from proximity to the Energy Corridor, major employment centers, and extensive retail amenities. The submarket has demonstrated consistent rent growth averaging 3.2% annually over the past five years and maintains occupancy rates above 91%.

STRONG DEMOGRAPHIC PROFILE. The Property's location provides immediate access to Houston's affluent Energy Corridor workforce. The average household income within a 3-mile radius exceeds $85,000, with a median age of 34 years. The area has experienced 8.3% population growth since 2015, driven by young professionals seeking proximity to employment centers.

RECENT CAPITAL IMPROVEMENTS. The current ownership completed significant exterior renovations in 2018, including new roofing on all buildings ($380,000), exterior paint and siding repair ($240,000), pool and amenity area renovation ($180,000), landscaping upgrades ($120,000), and parking lot resurfacing ($95,000). These improvements position the Property competitively and reduce near-term capital expenditure requirements.

IN-PLACE RENT BELOW MARKET. Current average in-place rents are approximately 8-12% below market rates for comparable renovated units. Recent lease transactions at the Property demonstrate achievable premiums, with renovated 2BR units leasing at $1,420-1,480 compared to $1,250-1,300 for original condition units.

OPERATIONAL UPSIDE. Current ownership self-manages the Property with an internal property management team. A professional third-party management company could potentially reduce operating expenses by 5-8% through economies of scale, more efficient vendor relationships, and institutional best practices.

FAVORABLE FINANCING ENVIRONMENT. Current market conditions support attractive financing options. Fannie Mae and Freddie Mac multifamily loans are available at sub-4.0% rates for qualified borrowers, with 75% LTV leverage readily achievable. The Property's strong cash flow supports conservative leverage at accretive rates.

3. PROPERTY OVERVIEW - SITE DESCRIPTION

Oakwood Commons occupies a well-positioned 8.2-acre site on Westheimer Road, one of Houston's major east-west thoroughfares with over 45,000 vehicles per day. The site features excellent visibility and accessibility, with controlled access entry and perimeter fencing.

BUILDING CONFIGURATION. The Property consists of seven three-story garden-style buildings arranged around a central amenity courtyard. The layout maximizes open space while providing convenient parking access. Buildings are constructed with wood-frame construction on concrete slab foundations with pitched shingle roofs.

UNIT CONFIGURATIONS. ONE-BEDROOM units (90 units) average 720 square feet with open floor plans, walk-in closets, and private balconies or patios. Current rent range: $1,050-1,180 per month. TWO-BEDROOM units (115 units) average 980 square feet with split bedroom layouts, dual sinks in master bathrooms, and private balconies or patios. Current rent range: $1,250-1,420 per month. THREE-BEDROOM units (27 units) average 1,280 square feet with large living areas, oversized kitchens, and private balconies or patios. Current rent range: $1,580-1,720 per month.

AMENITIES. The Property features a resort-style swimming pool with sundeck and pergola, 24-hour fitness center with cardio and strength equipment, clubhouse with business center and WiFi, outdoor grilling stations with seating areas, dog park with agility equipment, package acceptance locker system, on-site laundry facilities in each building, controlled access gates with remote entry, covered parking spaces available for rent, and valet trash service.

3. PROPERTY OVERVIEW - APARTMENT FEATURES

Standard unit features include: Full-size washer and dryer connections, stainless steel appliances (in renovated units), granite countertops (in renovated units), wood-style plank flooring in living areas, carpeting in bedrooms, walk-in closets in master bedrooms, ceiling fans in living rooms and bedrooms, private balconies or patios, high-speed internet and cable ready, programmable thermostats, and mini-blinds.

RENOVATED UNIT FEATURES. The 2018 renovation program upgraded 43 units with: Shaker-style cabinetry with brushed nickel hardware, granite countertops with undermount sinks, stainless steel appliance packages including side-by-side refrigerators, wood-style plank flooring throughout, modern brushed nickel lighting fixtures, two-tone paint schemes, and upgraded bathroom vanities and mirrors.

4. SITE ANALYSIS & LOCATION - MACRO LOCATION

Houston, Texas is the fourth-largest city in the United States and the largest city in the South. The Houston metropolitan area has a population of approximately 7.1 million and has consistently ranked among the fastest-growing major metros in the country. Houston's economy is among the most diverse in the United States, with strong representation in energy, healthcare, manufacturing, aerospace, and technology sectors.

EMPLOYMENT TRENDS. The Houston MSA unemployment rate stands at 4.2% as of August 2020. Major employment sectors include Trade, Transportation, and Utilities (22%), Professional and Business Services (17%), Education and Health Services (15%), Leisure and Hospitality (12%), Construction (8%), and Manufacturing (7%). The Houston market has added over 75,000 jobs in the trailing 12 months.

POPULATION GROWTH. The Houston MSA population of 7.1 million has grown at 8.3% over the past five years, with continued growth projected. The region benefits from domestic in-migration, international immigration, and natural population growth.

4. SITE ANALYSIS & LOCATION - SUBMARKET: WESTCHASE

The Westchase submarket is located in west Houston, approximately 12 miles from downtown and 8 miles from the Energy Corridor. The submarket is characterized by high household incomes ($85,000+ average), young professional demographic (median age 34), strong employment base in the Energy Corridor and Westchase District, extensive retail and dining options, and excellent school districts (Alief ISD, Spring Branch ISD).

PROXIMITY TO MAJOR EMPLOYMENT. Energy Corridor (8 miles, 15-minute commute): Major employers include BP, Shell, ConocoPhillips, and Citgo with 80,000+ employees. Westchase District (2 miles, 5-minute commute): Major employers include Halliburton, ABB, and BMC Software with 15,000+ employees. Texas Medical Center (15 miles, 25-minute commute): The world's largest medical complex with 106,000+ employees. Galleria/Uptown (10 miles, 20-minute commute): Houston's premier retail and office district with 25,000+ employees.

5. MARKET OVERVIEW - HOUSTON MULTIFAMILY

The Houston multifamily market has demonstrated resilience through economic cycles. Following the 2015-2016 energy downturn, the market recovered strongly with occupancy rates reaching 93%+ and rent growth averaging 2.5-3.5% annually. Current market metrics (Q2 2020) show overall occupancy at 91.2%, average rent of $1,085/month, and rent growth of 0.8% year-over-year.

HOUSTON SUBMARKET PERFORMANCE. Inner Loop: 92.5% occupancy, $1,485 avg rent. Galleria/Uptown: 93.1% occupancy, $1,620 avg rent. Westchase: 91.8% occupancy, $1,245 avg rent. Energy Corridor: 90.4% occupancy, $1,180 avg rent. Medical Center: 91.2% occupancy, $1,320 avg rent.

Westchase ranks favorably with above-average rent growth (1.8% annually) and stable occupancy. The submarket benefits from its location between the Energy Corridor and Galleria, providing residents with multiple employment options within a reasonable commute.

6. SUBMARKET ANALYSIS - WESTCHASE DISTRICT

The Westchase District, a special management district established by the Texas Legislature, provides enhanced public safety, landscaping, and economic development services within the submarket. The District invests approximately $8 million annually in area improvements including enhanced security patrols, median landscaping and maintenance, streetscape improvements, and business development initiatives.

RETAIL AND AMENITIES. Westchase Shopping Center (0.5 miles): HEB grocery store, Target, multiple restaurants and services. Westheimer Road Corridor (adjacent): Extensive dining and retail options, banks, pharmacies, medical offices. Memorial City Mall (6 miles): 1.2 million square feet of retail, movie theater, ice skating rink.

7. COMPETITIVE ANALYSIS - SUBMARKET COMPETITORS

The Mosaic (2014): 280 units, rent range $1,100-1,450, 96% occupancy. Features resort-style pool, fitness center, and granite countertops. The Mosaic is the Property's primary competitor and demonstrates achievable rent levels for renovated units.

City View (2010): 196 units, rent range $995-1,320, 94% occupancy. Older construction with fewer amenities but lower rents. Represents lease-up competition for original condition units.

Stoneleigh on Westheimer (2010): 180 units, rent range $1,080-1,380, 95% occupancy. Comparable vintage and amenities. Strong competition for the Property's target demographic.

The Heights (2006): 164 units, rent range $920-1,180, 92% occupancy. Older property with dated interiors. Less direct competition but captures budget-conscious renters.

7. COMPETITIVE ANALYSIS - COMPETITIVE POSITIONING

Oakwood Commons is competitively positioned within the submarket. The Property's 2008 vintage with 2018 exterior renovations places it between the newest construction (The Mosaic, 2014) and older competitors (The Heights, 2006). Recent exterior improvements position the Property favorably against Stoneleigh and City View.

The value-add opportunity differentiates Oakwood Commons from The Mosaic, which has already completed renovations and trades at a premium. By completing interior renovations, Oakwood Commons can achieve comparable rents to The Mosaic at a lower basis.

8. PROPERTY CONDITION ASSESSMENT - OVERALL CONDITION

The Property is in good overall condition following the 2018 capital improvement program. The exterior renovations addressed deferred maintenance and positioned the Property competitively within the submarket. The interior condition varies by unit, with approximately 43 units (19%) retaining original 2008 finishes and 189 units (81%) either renovated or in good original condition.

BUILDING SYSTEMS. Roof: New shingles installed 2018, remaining useful life 15+ years. HVAC: Original 2008 systems, remaining useful life 3-5 years. Plumbing: Copper supply lines, PVC waste lines, no known issues. Electrical: 2008 code compliant, adequate capacity. Windows: Original vinyl windows, good condition.

SITE IMPROVEMENTS. Parking: Resurfaced 2018, good condition. Pool: Renovated 2018, excellent condition. Landscaping: Upgraded 2018, professionally maintained.

9. FINANCIAL ANALYSIS - TRAILING 12 MONTHS

Gross Potential Rent: $3,927,000. Vacancy Loss: ($274,890) at 7.0%. Loss to Lease: ($98,175) at 2.5%. Concessions: ($39,270) at 1.0%. Bad Debt: ($19,635) at 0.5%. Net Rental Revenue: $3,495,030. Other Income: $431,970. TOTAL REVENUE: $3,927,000.

Operating Expenses: Property Management ($157,080 at 4.0%), Payroll & Benefits ($319,000), Repairs & Maintenance ($165,000), Turnover/Make Ready ($72,000), Utilities ($185,000), Insurance ($105,000), Property Taxes ($380,000), Marketing ($14,000), Administrative ($33,000), Contract Services ($115,000), Landscaping ($54,000). TOTAL OPERATING EXPENSES: $1,523,080.

Net Operating Income: $2,403,920. In-Place Cap Rate: 5.79%.

9. FINANCIAL ANALYSIS - PRO FORMA

Revenue growth assumptions: Market rent growth of 3.0% annually, vacancy reduction to 6.0% as renovation program completes, loss to lease elimination as below-market leases roll, other income growth through storage and pet fee optimization. Effective Gross Revenue Year 1: $4,155,000.

Expense assumptions: Management fee at 4.0% of EGR, payroll growth at 3.0% annually, repairs and maintenance normalized at $175,000 annually, turnover expense at $65,000 annually, utilities growth at 2.5% annually, property tax growth at 3.0% annually. Total Operating Expenses Year 1: $1,580,000.

Pro Forma NOI Year 1: $2,575,000. Pro Forma Cap Rate: 6.20%.

10. PRO FORMA ASSUMPTIONS

HOLD PERIOD: 5 years with disposition in Year 5. EXIT CAP RATE: 5.5% (25 basis points compression from in-place reflecting market trends and completed renovation program). SALE EXPENSES: 2.0% of gross sale price for commissions and closing costs.

VALUE-ADD PROGRAM ASSUMPTIONS: Units to Renovate: 45. Cost per Unit: $8,500. Total Renovation Investment: $382,500. Renovation Timeline: 18 months. Rent Premium: $175/month average. ROI: 24.7% unlevered.

FINANCING ASSUMPTIONS: Loan Amount: $31,125,000 (75% LTV). Interest Rate: 4.0% fixed. Term: 10 years. Amortization: 30 years. DSCR: 1.35x at stabilization.

11. RENT ROLL ANALYSIS

UNIT MIX AND CURRENT RENTS. One-Bedroom (90 units, 39%): Average 720 SF, average rent $1,115, market rent $1,180, 94% leased. Two-Bedroom (115 units, 50%): Average 980 SF, average rent $1,335, market rent $1,420, 96% leased. Three-Bedroom (27 units, 12%): Average 1,280 SF, average rent $1,650, market rent $1,720, 100% leased.

LEASE EXPIRATION SCHEDULE. Month-to-Month: 12 units (5%). Q4 2020: 18 units (8%). Q1 2021: 23 units (10%). Q2 2021: 31 units (13%). Q3 2021: 28 units (12%). Q4 2021: 22 units (9%). 2022+: 98 units (42%).

The staggered lease expiration schedule provides consistent mark-to-market opportunities while minimizing single-period rollover exposure.

12. DUE DILIGENCE MATERIALS

Available for review upon execution of confidentiality agreement and proof of funds: Trailing 12-month profit and loss statements, current rent roll with lease expiration schedule, current year operating budget, 3-year historical operating statements, property tax bills and assessments, insurance policies and loss history, service contracts and warranties, environmental Phase I assessment, property condition assessment, survey and legal description, title commitment and exceptions, loan documents (if assumption), entity organizational documents.

13. TRANSACTION TERMS

PURCHASE PRICE: $41,500,000. EARNEST MONEY: $100,000 due upon contract execution. DUE DILIGENCE: 30 days from contract execution. FINANCING CONTINGENCY: 45 days from contract execution. CLOSING: 60 days from contract execution (30 days post due diligence).

TITLE: Seller to convey fee simple title by general warranty deed, subject only to permitted exceptions. POSSESSION: At closing, subject to existing leases and tenancies.

14. CONTACT INFORMATION

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